Note 14 – Income Tax Provision

The provision for income taxes consisted of the following (dollars in millions):

	Years Ended March 31,		
	2007	2006	2005
Current			
Federal, net of foreign tax credit	($440)	$464	$ 52
State	(61)	34	47
Foreign	2	10	11
Total current	(499)	508	110
Deferred			
Federal	636	(360)	349
State	94	196	22
Total deferred	730	(164)	371
Provision for income taxes	$231	$344	$481

A reconciliation between the U.S. federal statutory tax rate and the effective tax rate is as follows:

	Years Ended March 31,		
	2007	2006	2005
Provision for income taxes at U.S. federal statutory tax rate	35.00%	35.00%	35.00%
State and local taxes (net of federal tax benefit)	3.74%	3.84%	4.10%
Other[1]	(3.88%)	(1.64%)	(0.38%)
Effective tax rate	34.86%	37.20%	38.72%

[1] Includes deferred tax benefit due to reduced effective state tax rate and new hybrid credit for the years ended March 31, 2007 and 2006.

Note 14 – Income Tax Provision (Continued)

The deferred federal and state income tax liabilities are as follows (dollars in millions):

	March 31,	
	2007	2006
Federal	$2,793	$2,031
State	360	397
Net deferred income tax liability	$3,153	$2,428

Our deferred tax liabilities and assets consisted of the following (dollars in millions):

	March 31,	
	2007	2006
Liabilities:		
Lease transactions	$3,227	$2,684
State taxes	234	270
Mark-to-market of investments in marketable securities and derivatives	31	-
Other	117	79
Deferred tax liabilities	3,609	3,033
Assets:		
Mark-to-market of investments in marketable securities and derivatives	-	26
Provision for losses	262	227
Deferred costs and fees	90	329
Net operating loss and tax credit carryforwards	117	36
Deferred tax assets	469	618
Valuation allowance	(13)	(13)
Net deferred tax assets	456	605
Net deferred income tax liability	$3,153	$2,428

We generated federal tax net operating loss carryforwards of $128 million for fiscal 2007. At March 31, 2007, we have a deferred tax asset of $35 million for state tax net operating loss carryforwards which expire in fiscal 2008 through fiscal 2027. In addition, at March 31, 2007, we have a deferred federal tax asset for foreign tax credits totaling $20 million and federal and state hybrid credits totaling $45 million. The foreign tax credit is reduced by a $13 million valuation allowance.

We received a net income tax refund of $149 million in fiscal 2007. Cash paid for income taxes in fiscal 2006 and fiscal 2005 was $659 million and $32 million, respectively.

Note 14 – Income Tax Provision (Continued)

At March 31, 2007, we had a receivable of $21 million for TMA's share of the income tax in those states where we filed consolidated/combined returns with TMA and/or its subsidiaries. At March 31, 2006, the receivable amount was $2 million.

Our effective tax rate was 34.86 percent and 37.20 percent during fiscal 2007 and fiscal 2006, respectively. The decrease in income taxes during fiscal 2007 compared to fiscal 2006 was due to a one time favorable adjustment related to a change in Texas franchise tax law (Texas margin tax (H.B. No. 3)) recorded in fiscal 2007 and a federal income tax benefit related to the Hybrid vehicle credit. The hybrid tax credit is based on lease volume and amount of credit, both of which vary from quarter to quarter.